On the other hand, the negatives of rental housing are several: (1) if you don't want to be a landlord, don't buy rental housing; (2) if you aren't able to maintain and manage your own property, many of the tax benefits decline; and (3) it's not always easy to get your money out if you need it.

Rental housing really only makes sense if you're willing to put your time and labor into it.

DUPLEXES AND TRIPLEXES: The asset of a duplex or triplex is that your income is not limited to one renter. In a single-family home if your renter moves out, you have 100 percent vacancy.

If all the expenses, such as payments, taxes, and maintenance, can't be met on 11 months of income, it's not a good investment generally. The same principle holds true for a duplex or triplex; the difference being that with a duplex, if one renter moves out, you still have 50 percent occupancy and, therefore, the risk is less.

If you don't have the money to get into a duplex or triplex by yourself, there are two alternatives. You can invest in limited partnerships that are offered by individuals who purchase and manage duplexes and triplexes. Or, you can invest with another person. For a detailed discussion on the assets and liabilities of partnerships, I would refer you to my book, *Using Your Money Wisely*, published by Moody Press.

The liabilities with duplexes or triplexes are that they require a higher investment, more maintenance, and you really do become a landlord.

Remember the three key factors about buying any rental property, whether it is a single-family house, duplex, or triplex. They are location, location, and location. Income potential, 5-7. Risk, 3-4.

37 TIER #4: SPECULATIVE GROWTH

Next I'll discuss the three major types of speculative growth investment.